

CITY CONTRACT # _____

**NON-HAZARDOUS SOLID WASTE
DISPOSAL AGREEMENT**

This Non-Hazardous Solid Waste Disposal Agreement (the "Agreement") is entered into this ____ day of _____, 2015 by and between Waste Management Disposal Services of Colorado, Inc. ("WM") and the City of Cheyenne, Laramie County, Wyoming ("City").

W I T N E S S E T H

WHEREAS, WM owns and operates the North Weld Landfill, located at 40,000 Weld County Road 25, Ault, Colorado (the "Landfill"); and

WHEREAS, City owns and operates a solid waste transfer station within the City (the "Transfer Station"); and

WHEREAS, City desires to enter into this Agreement permitting City to dispose of Permitted Solid Waste collected by its collection vehicles and/or received at its Transfer Station at the Landfill at the herein stated Contract Rates for the contract period of July 1, 2015 through June 30, 2017.

NOW, THEREFORE, in consideration of the mutual promises contained herein, the parties to this Agreement agree as follows:

1. **PERMITTED SOLID WASTE.** "Permitted Solid Waste" is defined for the purpose of this Agreement as all non-hazardous commercial, residential and construction debris wastes collected by City by its collection vehicles and/or received at its Transfer Station. All regulated hazardous, PCB and radioactive wastes are specifically excluded from the definition, as are any other wastes for which the Landfill is not permitted to accept (collectively, "Excluded Wastes"). Additionally, whole tires, high-density demolition debris, and industrial wastes (collectively, "Special Wastes") are specifically excluded from the definition of Permitted Solid Waste. However, Special Wastes may be accepted at the Landfill upon written agreement of the parties as to legal status of the waste, price and conditions of disposal.
 - A. DRIVER'S KNOWLEDGE AND AUTHORITY. City warrants that its drivers who deliver waste to the Landfill have been advised by City of WM's prohibition of deliveries of Excluded and Special Wastes.
 - B. RIGHTS OF REFUSAL/REJECTION OF WASTES. WM has the right to reject or revoke after acceptance any load or portion of any load of waste delivered to

the facility if WM believes the City has breached (or is breaching) any of its warranties or agreements hereunder. If City delivers waste in breach of any warranty or agreements herein, WM may in its sole discretion either remove and dispose of that waste and charge City for the cost thereof or require City to promptly and fully remove the same.

2. **MINIMUM USE OF WM FACILITY.** City agrees to deliver at least 30,000 tons of Permitted Solid Waste (the "Annual Minimum Quantity") to the Landfill each Contract Year, and WM agrees to accept such amount for disposal.
3. **TERM OF AGREEMENT.** This Agreement shall be for a term commencing July 1, 2015 and ending June 30, 2017. For this Agreement, a "Contract Year" shall be July 1st through June 30th of the succeeding year. Upon mutual consent of the parties, this Agreement may be extended for one additional five-year term. Pricing shall be according to the provisions of Paragraph 4(b) for each additional year during the extension period. This Agreement supersedes the current agreement, contract number 5580, between the City and WM, dated August 9, 2010.
4. **PRICE.** The price to be paid for each ton of Permitted Solid Waste delivered to the Landfill shall be the Contract Rate stated below (subject to the Annual Minimum Quantity requirement being met). Each load will be weighed at the Landfill to determine weight. All Special Waste shall be priced at the time WM agrees in writing to accept such waste, as provided for herein.

If City fails to deliver the required Annual Minimum Quantity of Permitted Solid Wastes during a Contract Year, City shall, within 30 days following such Contract Year, pay WM an amount equal to the following:

(30,000 * published gate rate at Landfill) – Amounts paid and owed by City for Permitted Solid Waste delivered during the Contract Year based on the Contract Rate

Such payment shall be in addition to amounts otherwise due based on the Contract Rate for the relevant Contract Year. For example, assuming City only delivered 25,000 tons of Permitted Solid Waste during the Contract Year ending June 30, 2016, and the assumed published gate rate as of June 30, 2016 is \$38.00, the following would be due from City by July 30, 2016:

- Contract Rate for all Permitted Solid Waste delivered during the Contract Year (which had not yet been paid), plus
- $(30,000 * \$38.00) - (25,000 * \$23.90) = \$542,500$

The Contract Rate(s) include Weld County landfill environmental fees/surcharges (currently 11%). All other existing and potential federal, state, or local taxes, user

fees, and/or surcharges applicable to this Agreement will be added to each transaction. The Contract Rate(s) for each Contract Year shall be:

- a. Effective July 1, 2015 through June 30, 2016, \$23.90 per Ton of Permitted Solid Waste.
- b. On July 1, 2016, and annually thereafter, WM may increase the Contract Rate(s) by up to 120% of the annual percent change of the Consumer Price Index for All Urban Consumers (CPI-U) for Denver-Boulder-Greeley according to the most recent available published index from the Bureau of Labor Statistics.

The Contract Rate(s) do not include WM's fuel surcharge, environmental fee, or Hazardous Substance Response Fund (HSRF) Fee, and such amounts may be billed to the City.

- a. The fuel surcharge is a variable rate based on the DOE cost of diesel fuel. The fuel surcharge can be determined by visiting our website at <http://www0.wm.com/WM/procurement/Fuelinfo/DisposalFST.pdf>
- b. The environmental fee is variable, and is currently \$16.00 per load.
- c. The HSRF is a state imposed fee required on all waste deposited at all Colorado landfills.

If prior to the end of a Contract Year City reaches/exceeds the Annual Minimum Quantity (i.e., 30,000 tons of Permitted Solid Waste), the Contract Rate(s) for the remainder of the Contract Year shall be reduced by \$1.75 per ton, effective the first day of the following month. Such \$1.75 per ton reduction shall remain in effect only for the remaining Contract Year.

5. **SPECIAL WASTES.** City warrants that the Permitted Solid Waste delivered to WM hereunder will not contain any Special Waste, unless specifically described in a Generator's Waste Profile Sheet(s) which WM later agrees to accept in writing. City agrees to comply with precautions, limitations and conditions contained in WM's written notice of approval of Profiled Special Waste. Rates for Profiled Special Wastes will be based on mutual agreement between City and WM prior to the approval of the waste.
6. **ADDITIONAL TAXES, FEES OR REGULATORY COSTS.** City agrees that the Contract Rate(s) agreed to hereby may be increased by the actual amount of any new costs imposed on WM after the date hereof in the nature of new or increased fees, taxes or surcharges imposed by any governmental authority or increased

operating costs caused by the actions of such regulatory or governing authority.

7. **CREDIT TERMS.** City agrees to pay all WM invoices within 30 days of the invoice date. In the event that such payment is delinquent, City agrees to pay WM a late fee for all past due payments not to exceed 30% per annum (2.5% per month). If any amount should become 45 days past due, City agrees that future use of the Landfill shall be on a daily COD basis, at the discretion of WM.
8. **INDEMNIFICATION.** Each party to this Agreement agrees to be responsible for any loss, claim, damages, or demands resulting from their individual negligence or breach of this Agreement. The City does not waive defenses available to it under the governmental claims act.
9. **NOTICES.** All notices, requests, demands and other communications with respect to any provision hereof shall be in writing and shall be delivered:

If to WM:
Waste Management Disposal Services of Colorado, Inc.
40,000 Weld County Road 25
Ault, Colorado 80610
Attn: Bill Hedberg, Sr. District Manager

If to City:
City of Cheyenne
2101 O'Neil Avenue, Room 210
Cheyenne, Wyoming 82001
Attn: Dennis Pino, Director of Solid Waste

10. MISCELLANEOUS.

- A. **BINDING EFFECTS.** This Agreement shall be binding upon and inure to the benefit of the parties hereto and their respective legal representatives, successors and assigns.
- B. **GOVERNING LAW.** This Agreement shall be construed and governed in accordance with the laws and regulations of the State of Colorado, and subject to the judicial review of the district or county courts of Weld County, Colorado.
- C. **ASSIGNMENT.** Neither party may assign, transfer or otherwise vest in any other company, entity, person, any of its rights or obligations under this Agreement without the prior written consent of the other party, which consent shall not be unreasonably withheld; provided however, that WM may, without any such prior written consent, assign its rights and/or

obligations under this Agreement to a subsidiary or affiliate corporation.

- D. ENTIRE AGREEMENT. This Agreement constitutes the entire agreement between the parties hereto with respect to the subject matter hereof. No modification, amendment or waiver of any provision or obligation hereof shall be binding upon any party hereto, or in the case of a waiver, by the party (ies) waiving such compliance.
- E. ATTORNEYS' FEES. In the event of a breach of this Agreement, the breaching party shall pay all reasonable attorneys' fees, collection fees and costs of the other party incident to any action brought to enforce the Agreement.
- F. LIMITED LICENSE TO ENTER. During the term of this Agreement, the City shall have a license to enter the Landfill for the limited purpose of, and only to the extent necessary for the off-loading Permitted Solid Wastes at the location and in the manner directed by WM. Except in an emergency, or at the express direction of WM, City personnel shall promptly leave the Landfill facility. Under no circumstances shall City or its personnel engage in scavenging of waste at the Landfill. WM may refuse to accept waste from, and shall deny an entrance license to, any of City's personnel who WM believes is under the influence of alcohol or other chemical substance.
- G. INSURANCE. City has liability coverage through Wyoming Association of Risk Management (WARM), a joint powers liability pool that provides risk financing and claims administration to the City, in the amounts and coverages represented by the WARM Certificate of Liability Coverage (Attachment A). The City is under the Wyoming State Workers Compensation Program.

WM will provide the City with proof of commercial general and auto liability insurance coverage in the form of an insurance certificate throughout the entire term of the contract as a certificate holder. All insurance certificates provided by WM must include a clause stating that the commercial general and auto liability insurance may not be canceled without at least thirty (30) days advanced written notice to the City. Ten (10) days notice is acceptable for cancellation due to non-payment of premium.
- H. WAIVER. The waiver by any party hereto of any breach, default, misrepresentation, or breach of warranty or covenant hereunder, whether intentional or not, shall not be deemed to extend to any prior or subsequent breach, default, misrepresentation or breach of warranty or covenant hereunder and shall not effect in any way rights arising from any such prior or subsequent occurrence.

IN WITNESS WHEREOF, the parties have executed this Agreement as of the date so noted with the intention of being legally bound hereby for the term hereof.

WASTE MANAGEMENT DISPOSAL SERVICES OF COLORADO, INC.

By: _____ Dated: _____
(Authorized signature)

Title

CITY OF CHEYENNE, LARAMIE COUNTY, WYOMING

By: _____ Dated: _____
(Authorized signature)

Title